

KARUR VYSYA BANK THE MOST EFFICIENT SMALL BANK

Karur Vysya is one of the older private sector players but a relatively new convert to technology (it introduced core banking solutions in 2005). Just the same, the Tamil Nadu-based bank has lost no time in leveraging technology to expand and become efficient. Currently, the bank has 281 branches (and will expand to 300 in next two months), 279 ATMs of its own including 18 in rural areas and 108 in semi urban areas, and piggybacks on 10,000 other ATMs. Still, the bank is keen to build its physical presence. It plans to increase the number of branches to 300 shortly and create a pan-India presence. "We find value in increasing branches and this is reflected in our results," says Chairman P.T. Kuppuswamy, adding that such a strategy also helps Karur reach out to customers who are not computer savvy. Karur also runs a tight ship. Its NPA as a percentage of net advances in 2006-07 was a minuscule 0.23, although a more recent figure puts it at 0.05 per cent. "We are in no hurry really, but in the next quarter we can bring it down to zero," says Kuppuswamy, whose bank also had one of the lowest cost-to-income ratios of 41 per cent.

by Nitya Varadarajan

PUNJAB & SIND BANK BEST SMALL BANK



R.P. SINGH

to 1.11 per cent as on December 31, 2007. Says R.P. Singh, chairman and managing director: "The bank has recovered Rs 1,578.46 crore in the last two-and-a-half years."

by Manu Kaushik

It's been a dramatic story of turnaround at Punjab & Sind Bank. Even three years ago, the public sector bank was a laggard. But ever since the government bailed it out with an infusion of Rs 500 crore, it has grown from strength to strength. Result: from No 7 in the small bank category (less than Rs 24,000 crore in balance sheet size) in our 2006 rankings, it has vaulted to the No1 position. In between, it has reported impressive cash recovery, crushing its non-performing assets from 17.7 per cent of advances in March 2005

- Offering customers the ability to execute their own trading and investment options.
- Portfolio advisory and tracking.
- Management of wealth across different asset classes.

Banks that are able to move up the value chain and bundle CASA (current account and savings account) — a source of low-cost deposits—along with value-added products and services will most likely be able to maintain and consistently raise low-cost deposits. This will mean moving into non-traditional banking areas. However, moving up the value chain is a difficult proposition and a number of banks will find their ability to

do so being constrained by:

- Flexibility of operating model.
- Technology architecture, backbone, customer delivery channels.
- Competence of human resources to manage new business areas.

ASSET QUALITY AND IMPACT OF THE SARFEST ACT

Non-performing assets (NPAs) are a double-edged sword that affect income recognition, while the provisioning on the NPAs impacts the profitability and earnings of banks.

Traditionally, a large chunk of NPAs have been the result of PSBs' exposure to corporates. But the last

three years have seen a significant improvement on that front, with gross NPAs as a proportion of total advances showing a declining trend. Significant improvement in NPAs and recoveries can be attributed to:

- Improvement of legal framework and promulgation and implementation of the SARFESI Act, which has made recovery procedures relatively easy and quick.
- Hiving off of bad assets to asset reconstruction companies;
- A robust recovery in the business environment resulting in an improvement in the debt repayment capacity of borrowers.
- Improved valuation of the underlying collateral.

Some of the smaller banks, particularly those classified as "weak banks", have benefitted significantly from the environmental changes. The improved position of NPAs has been one of the key reasons for the turnaround of these banks.

However, the aggressive growth in retail assets and, specifically, non-collateralised assets like credit cards and personal loans over the last two-to-three years is likely to pose a new challenge. Given the challenges in the retail recovery framework, the banking system will have to look beyond. Strengthening the loan origination framework and ensuring generation of healthy credit will be critical for a healthy retail portfolio. The banking system critically needs systemic initiatives with regard to:

- Strengthening credit checks in the pre-verification process.
- Strengthening the operational controls system for early detection of delinquent accounts.
- Establishment of credit bureaux for sharing information of delinquent customers and defaulters.

Each of these trends will individually, and in tandem, shape the future and rewrite the rules of the Indian banking landscape. The fun is about to start. ■